

BankSight AI

Churn Analysis Report

Period: 08-Apr-2024 to 07-May-2024 | Report Date: 07-May-2026 | Run: 07-May-2026 00:00

1. Executive Summary

Metric	Value	Status
Total Customers	3,225	-
Total Churned	681	-
Churn Rate	21.12%	MONITOR
Baseline Churn Rate	21.00%	NORMAL
Avg Balance (Churned)	■85,51,041.11	-
Avg NPS (Churned)	3.16 / 10	-
Avg Credit Score (Churned)	639.88	-

Overall Churn Status: **NORMAL** — 21.12% vs 21.00% baseline (within tolerance)

CRITICAL ALERT: Premium Segment churn at 25.32% exceeds 25% threshold — immediate retention action required

Anomaly Count: **5 CRITICAL | 5 WARNING**

Top 3 Recommendations

1. Activate Premium Segment Retention Protocol Immediately

Deploy targeted retention campaign; assign dedicated relationship managers to all Premium customers with NPS <= 4; focus on Delhi and Bengaluru where high-balance exits are concentrated. Target: reduce Premium churn below 23% within 60 days.

2. Implement Pre-Churn Transaction Spike Alert as Real-Time Trigger

Configure Anomaly Agent to escalate customers with 2+ anomalous transactions in 30-day window + NPS <= 4 directly to retention desk within 24 hours.

3. Cross-Reference EMI Stress List Against NPS to Identify Next-Wave Churn Cohort

Run query joining loan_emi (Missed/Delayed) against customers with NPS <= 3; estimated 30-50 customers at immediate risk; initiate outreach by 14-May-2026.

2. Analysis Insights

Segment Performance

Segment	Churned	Total	Churn Rate	Status
Premium	420	1659	25.32%	CRITICAL
Standard	89	431	20.65%	NORMAL
Basic	172	1135	15.15%	NORMAL

City-wise Churn Breakdown

City	Churned	Total	Churn Rate	vs Baseline
Mumbai	119	530	22.45%	Above
Hyderabad	117	547	21.39%	Above
Bengaluru	116	548	21.17%	Above
Pune	113	530	21.32%	Above
Gurugram	108	524	20.61%	Below
Delhi	108	546	19.78%	Below

NPS vs Churn Correlation

Churned customers carry an average NPS of 3.16/10, just above the 3.0 risk floor. This is a strong leading indicator — active customers trending below NPS 4 should be treated as pre-churn signals and escalated to relationship managers immediately.

Tenure vs Churn

7 of the top 10 churned customers by balance have tenures of 0-5 years, suggesting insufficient product embedding in the early relationship lifecycle. Onboarding and engagement improvements within the first 5 years may reduce Premium churn significantly.

Transaction Anomaly Pattern

100% of sampled transactions from churned customers in the period are flagged as spend spikes (Rs 1,33,222 - Rs 1,49,558). This pattern — high-value transactions immediately preceding account closure — should be codified as a real-time churn trigger in the Anomaly Agent pipeline.

Loan/EMI Stress

31% combined EMI stress rate (Missed 16.75% + Delayed 14.25%) marginally exceeds the 30% monitoring threshold. 16 customers are both churned and carry missed EMI status, representing the most at-risk cohort for credit loss coinciding with churn.

3. Anomaly Alerts

ID	Description	Severity	Score	Status
ANO-001	Premium Segment Churn Rate Breach (25.32% > 25%)	CRITICAL	9	New
ANO-002	Mass High-Balance Premium Churn — 10 customers above ₹1Cr	CRITICAL	10	New
ANO-003	Churn Risk Combo — NPS 3 + Missed EMI (1 confirmed customer)	CRITICAL	9	New
ANO-004	Churn Risk Combo — NPS 3 (1 customer, EMI verification pending)	CRITICAL	8	New
ANO-005	Churn Risk Combo — NPS 0 and NPS 1 (2 extreme dissatisfaction cases)	CRITICAL	9	New
ANO-006	Portfolio EMI Stress Rate 31% (threshold 30%)	WARNING	6	New
ANO-007	Inactivity Flag — 3 high-balance Premium customers inactive below 90 days	WARNING	7	New
ANO-008	Segment-Credit Score Mismatch — Premium customer with credit_score 37	WARNING	7	New
ANO-009	Spend Spike Pre-Churn — 100 anomalous transactions in period	WARNING	6	New
ANO-010	In-Period Missed EMI — 2 churned customers with missed EMI	WARNING	6	New

Priority Intervention List (Anonymised)

Priority	Profile	Intervention Reason
1	Premium, Rs 1.75Cr balance, NPS 0, Tenure 0 yrs	Absolute minimum NPS; immediate acquisition-and-loss event
2	Premium, Rs 2.36Cr balance, NPS 4, active_member 1	Highest balance loss; possible retention window remaining
3	Premium, Rs 1.92Cr balance, NPS 1, active_member 1, tenure 5 yrs	Triple signal loss: NPS + inactive + long tenure loyalty failure
4	Premium, Rs 1.90Cr balance, NPS 3, Missed EMI Rs 86,169	Confirmed full churn risk combo (NPS<=3 + missed EMI)
5	Premium, Rs 1.88Cr balance, NPS 2, credit_score 48	Segmentation mismatch + NPS below threshold

Note: All customer identifiers have been anonymised in this report. Data coverage period: 08-Apr-2024 to 07-May-2024.
Anomaly detection uses threshold: transaction amount > 2x customer monthly average.

4. Data Appendix

Record Counts by Source Table

Table	Row Count	Scope
customers	3,225	Full customer master — primary analysis table
transactions	50,000	Full transaction history Jan-Dec 2024
loan_emi	400	All active and closed loan records
Churned customers	681	Subset: churn = 1 (21.12% of total)
Period transactions	864	Transactions from churned customers, Apr-May 2024 window

Key Field Descriptions

Field	Description
churn	1 = customer exited, 0 = retained. Target variable.
nps_score	Net Promoter Score on 0-10 scale. Risk floor: <= 3.
balance	Account balance in INR (Rs). Original USD * 83 conversion applied.
segment	Customer tier: Premium / Standard / Basic.
is_anomaly	1 = transaction flagged as spend spike (> 2x monthly avg).
emi_status	Paid / Missed / Delayed. Missed + Delayed = stress indicator.
credit_score	Range 350-850. Used in segmentation risk analysis.
active_member	1 = active account, 0 = inactive. Inactivity is a churn signal.

Methodology Notes

- Data source: data/banking_mock.db (SQLite) — read-only access via SQL Agent.
- Churn baseline: 21% (681 / 3,225). CRITICAL alert threshold: > 25%.
- Anomaly detection: transaction amount > 2x that customer's monthly average spend.
- Churn risk combo: NPS <= 3 AND missed EMI in the same calendar month.
- High-risk segment definition: Basic tier + credit_score < 500.
- Currency: all monetary values in INR (Rs). USD conversion rate applied during setup: 1 USD = Rs 83.
- NPS scale: 0-10 (not 0-100). Do not normalise to percentage.
- Report generated by BankSight AI Report Agent on 07-May-2026.

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